

pressure from shareholders to make a quick profit, they sometimes focus on this rather than reinvesting profit to improve productivity or working conditions. Managers may be tempted to run companies for their own gain rather than the long-term good of the company.



STICK AND CARROT

Managers must ensure that their employees are working for the good of the business. Management expert Douglas McGregor identified two basic styles of management, Theory X and Theory Y: either threatening the workers with punishment if their work is not good enough, or rewarding them for good work.



margin.”

The ratio of profit to income from the sales of a product is known as the “profit

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